

Surety Bonds: Your Quick Guide

Everything you need to know about surety bonds — from key terms and bond types to how to get a quote and avoid common mistakes.



What is a Surety Bond?

In plain English, a surety bond is a **three-party promise** that ensures a person or business will fulfill an obligation, follow the law, or complete a contract.

A surety bond is not insurance for you — it's a **guarantee to others** that you will do what you promised.



Key Terms to Know

Every surety bond involves three distinct parties, each with a specific role in the agreement.

The Principal

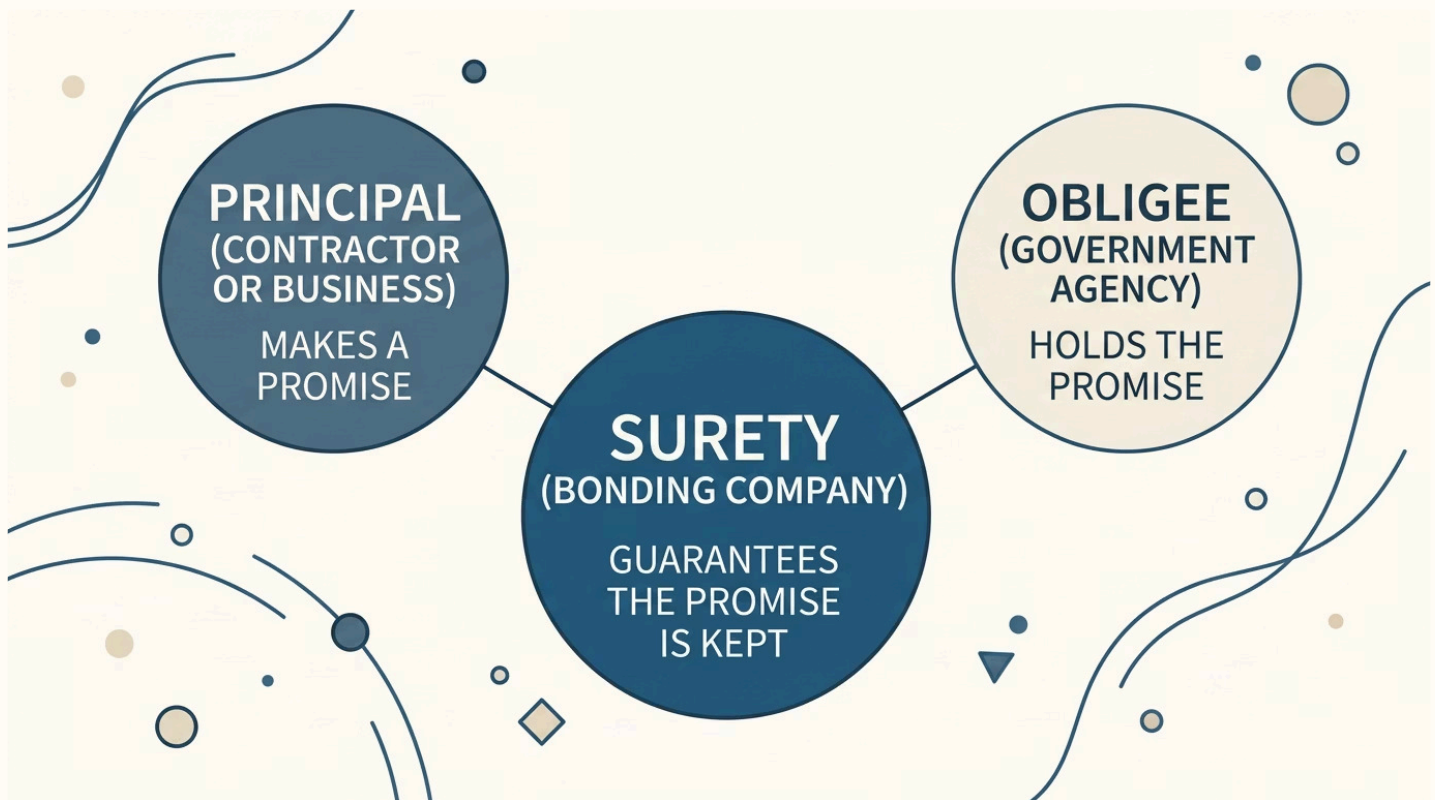
The person or business who needs the bond and makes the promise — for example, the contractor or dealership.

The Obligee

The entity requiring the bond to protect the public or themselves — usually a government agency.

The Surety

The bonding company that provides the financial guarantee that the Principal will fulfill their duties.



Common Bond Types & Their Uses

Surety bonds come in many forms, each designed to protect a specific party or fulfill a particular legal requirement.



License & Permit (L&P) Bonds

Required for many businesses to get their professional license; these guarantee the business will follow state and local laws.



Contractor License Bonds

Guarantees that a contractor will follow building codes and perform work safely.



Auto Dealer Bonds

Ensures dealerships follow regulations, such as properly transferring vehicle titles.



Title (Lost Title) Bonds

Used when vehicle ownership documents are missing or incorrect to help establish a new title.



Contract Bonds

Used in construction to guarantee a project is finished and that all subcontractors and suppliers are paid. Includes Bid, Performance, and Payment bonds.



Notary Bonds

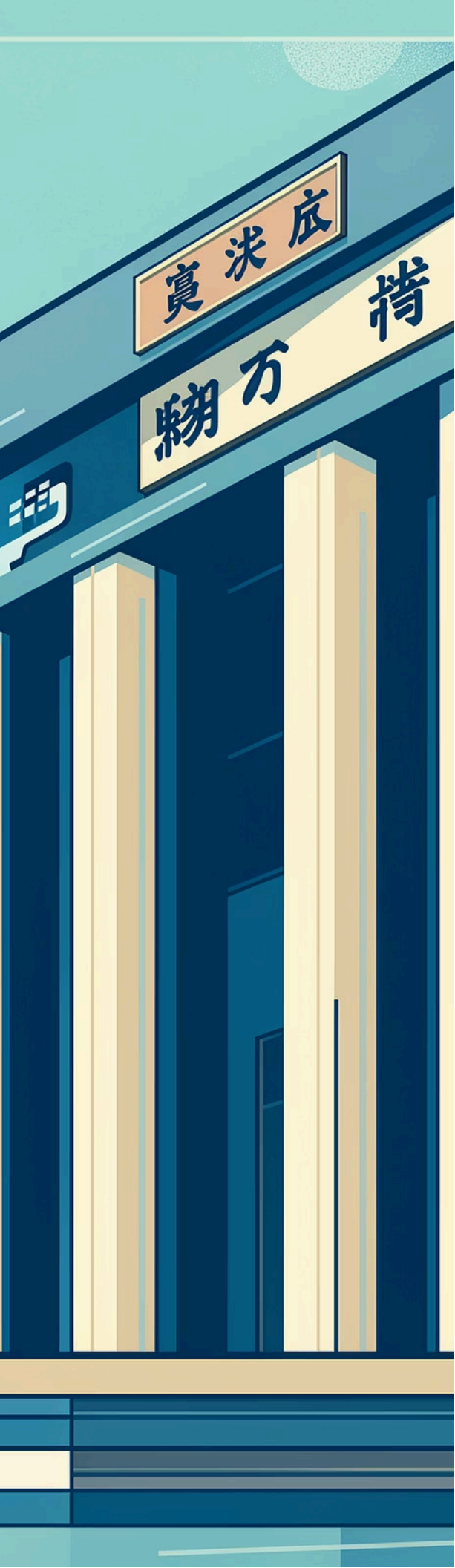
Protects the public against damages caused by a notary's improper official acts.



Fidelity Bonds

Protects a business owner from losses caused by the dishonest act





Who Requires These Bonds?

Surety bonds are mandated by a range of entities — from local governments to private project owners — each with their own reasons for requiring financial protection.

Government Agencies

Local, state, and federal bodies require License & Permit bonds to protect the community from fraud or safety violations. Compliance with these requirements is mandatory for obtaining and maintaining a professional license.

Project Owners

Both public and private customers often require contract bonds to ensure a project is completed as agreed. This protects them from financial loss if a contractor fails to deliver on their commitments.

 Contract bonds are especially common in public works projects where taxpayer funds are at stake.



How to Get a Quote

To issue a bond, you generally need to provide the following information. Being prepared with accurate documentation speeds up the process significantly.



Full Legal Name & DBA

The bond must match your legal business name exactly. Any discrepancy can render the bond invalid.



Identification

Proof of identity or lawful presence, such as a Driver's License, is required to verify who is being bonded.



Financial Review

While many small bonds are "instant issue," larger or high-risk bonds may require a credit check or financial statements.



Legal History

You must disclose any past criminal charges, as omissions are considered "material misstatements" and can jeopardize your application.



Always provide complete and accurate information. Omissions or misstatements on your application can result in denial or revocation of your license.



State-Specific Requirements

Bond requirements vary significantly by state. Always verify the specific requirements with your requiring agency before submitting an application.

COLORADO

Colorado Requirements

- Vehicle title bonds must be completed through your **county motor vehicle office**.
- Colorado **Buyer Agents** must post a specific **\$5,000 bond** to be licensed.

NEVADA

Nevada Requirements

- Bonds are commonly required for professions like **Legal Document Assistants** to ensure they do not provide unauthorized legal advice.

☐ Bond amounts and forms vary by state. Always verify specific requirements with your requiring agency before proceeding.



Common Mistakes to Avoid

Understanding what *not* to do is just as important as knowing the process. These are the most frequent errors that can cost you your license or your bond coverage.

❌ Treating It Like Personal Insurance

Unlike car insurance, if the Surety pays a claim on your behalf, **you must reimburse them** for the full amount paid. A surety bond protects the obligee — not you.

❌ Material Misstatements

Lying or omitting information on your application can result in your license being **denied or revoked**. Full disclosure is not optional — it is a legal requirement.

❌ Name Mismatches

Using a nickname or incorrect business name on the bond form can make the bond **invalid with the state**. Always use your exact legal name or registered DBA.

- ✅ When in doubt, double-check your legal name, disclose everything, and remember: a surety bond is a guarantee — not a safety net for you.

